SINGDA SUPERALLOY PTE. LTD.
(Company Registration No.: 202405212H)
(Incorporated in the Republic of Singapore)

FINANCIAL STATEMENTS
FOR THE FINANCIAL PERIOD FROM 6 FEBRUARY 2024 (DATE OF INCORPORATION) TO 31 DECEMBER 2024

SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT AND FINANCIAL STATEMENTS

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SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT

The directors present their statement to the shareholder together with the audited financial statements of Singda Superalloy Pte. Ltd. (the Company) for the financial period from 6 February 2024 (date of incorporation) to 31 December 2024.

OPINION OF THE DIRECTORS

In the opinion of the directors,

(i) the accompanying financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2024, and the financial performance, changes in equity and cash flows of the Company for the financial period ended on that date; and

(ii) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

DIRECTORS

The directors of the Company in office at the date of this statement are:

Gu Zhen (Appointed on 3 July 2024)
Koh Wai Keong, Eugene (Appointed on 6 February 2024)

ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial period was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of the Company or any other body corporate.

DIRECTORS' INTEREST IN SHARES OR DEBENTURES

The directors of the Company holding office at the end of the financial period had no interest of the share capital and debentures of the Company or of related corporation either at the beginning of the financial period, or at the end of the financial period as recorded in the register of directors' shareholdings kept by the Company under Section 164 of the Singapore Companies Act 1967.

SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT (CONT'D)

SHARE OPTIONS

There were no options granted during the financial period to subscribe for unissued shares of the Company.

There were no shares issued during the financial period by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial period.

INDEPENDENT AUDITOR

The independent auditor, A Garanzia LLP, has expressed its willingness to accept the re-appointment.

Gu Zhen
Director

Koh Wai Keong, Eugene
Director

Singapore, 11 JUN 2025

A Garanzia LLP
Reg. No: T11LL0769A
200 Cantonment Road #05-03/04 Southpoint Singapore 089763 Tel: 67412919

INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDER OF SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Singda Superalloy Pte. Ltd. (the Company), which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the financial period then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the Act) and Financial Reporting Standards in Singapore (FRSs) as to give a true and fair view of the financial position of the Company as at 31 December 2024 and the financial performance, changes in equity and cash flows of the Company for the financial period ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Management is responsible for the other information detailed in the Directors' Statement.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

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Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

A Garanzia LLP
Public Accountants and
Chartered Accountants
Singapore

11 JUN 2025

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SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL PERIOD FROM 6 FEBRUARY 2024 (DATE OF INCORPORATION) TO 31 DECEMBER 2024

	Note	6/2/2024 to 31/12/2024 US$
Revenue	(3)	303,162
Cost of sales	(4)	(297,371)
Gross profit		5,791
Other income	(5)	77
Administrative expenses		(5,046)
Profit before income tax	(6)	822
Income tax	(7)	(18)
Profit for the financial period		804
Other comprehensive income for the financial period, net of tax		-
Total comprehensive income for the financial period		804

The accompanying notes form an integral part of these financial statements.

SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 US$
ISSUED CAPITAL	(8)	1
SHARE APPLICATION MONIES	(8)	1,299,999
RETAINED EARNINGS		804
		1,300,804
Represented by:		
NON-CURRENT ASSET		
Investment in a subsidiary	(9)	1,039,991
CURRENT ASSETS		
Trade and other receivables	(10)	179,377
Cash and cash equivalents	(11)	383,798
		563,175
LESS: CURRENT LIABILITIES		
Trade and other payables	(12)	302,344
Provision for taxation		18
		302,362
NET CURRENT ASSETS		260,813
		1,300,804

The accompanying notes form an integral part of these financial statements.

SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL PERIOD FROM 6 FEBRUARY 2024 (DATE OF INCORPORATION) TO 31 DECEMBER 2024

	Issued capital US$	Share application monies US$	Retained earnings US$	Total US$
Balance at 6 February 2024 (date of incorporation)	1	-	-	1
Share application monies	-	1,299,999	-	1,299,999
Total comprehensive income for the financial period	-	-	804	804
Balance at 31 December 2024	1	1,299,999	804	1,300,804

The accompanying notes form an integral part of these financial statements.

SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL PERIOD FROM 6 FEBRUARY 2024 (DATE OF INCORPORATION) TO 31 DECEMBER 2024

	6/2/2024 to 31/12/2024 US$
Cash flows from operating activities	
Profit before income tax	822
Adjustment for:	
Interest income	(77)
Operating profit before working capital changes	745
Increase in trade and other receivables	(179,377)
Increase in trade and other payables	302,344
Net cash from operating activities	123,712
Cash flows from investing activity	
Investment in a subsidiary	(1,039,991)
Cash used in investing activity	(1,039,991)
Cash used in financing activities	
Proceeds from ordinary share	1
Share application monies received	1,299,999
Interest received	77
Net cash from financing activities	1,300,077
Net increase in cash and cash equivalents	383,798
Cash and cash equivalents at beginning of the financial period	-
Cash and cash equivalents at end of the financial period (Note 11)	383,798

The accompanying notes form an integral part of these financial statements.

SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL PERIOD FROM 6 FEBRUARY 2024 (DATE OF INCORPORATION) TO 31 DECEMBER 2024

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

The Company is incorporated and domiciled in Singapore.

The address of its registered office is 51 Goldhill Plaza #20-07 Singapore 308900.

The principal activities of the Company are to manufacture, produce, design, develop and trading all types of high-temperature alloys, metal materials and castings.

2. MATERIAL ACCOUNTING POLICY INFORMATION

(a) Basis of preparation

The financial statements have been prepared in accordance with Singapore Financial Reporting Standards (FRSs) as required by the Singapore Companies Act 1967.

The financial statements, which are presented in United States Dollar (US$), have been prepared on historical cost basis except as disclosed in the accounting policies below.

The accounting policies have been consistently applied by the Company during the financial period.

The preparation of financial statements in conformity with FRSs requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of profit or loss during the financial period. Although these estimates are based on the Company's best knowledge of current events and actions and historical experiences and various other factors that are believed to be reasonable under the circumstances, actual results may ultimately differ from those estimates. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are material to the financial statements are disclosed in the accounting policies below.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

(a) Basis of preparation (cont'd)

The Company has not applied the following new / revised FRSs or interpretations that have been issued as of the reporting date but are not yet effective:

Descriptions	Effective for annual years beginning on or after
Amendments to FRS 21 The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability	1 January 2025
Amendments to FRS 109 Financial Instruments and FRS 107 Financial Instruments: Disclosures: Amendments to the Classification and Measurement of Financial Instruments	1 January 2026
Annual Improvement to FRSs Volume 11	1 January 2026
FRS 118 Presentation and Disclosure in Financial Statements	1 January 2027
FRS 119 Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to FRS 110 Consolidated Financial Statements and FRS 28 Investments in Associates and Joint Ventures: Sales or Contribution of Assets between an Investor and its Associate or Joint Venture	Date to be determined

The directors expect that the adoption of the standards and interpretations above will have no material impact on the financial statements in the period of initial application.

(b) Basis of non-consolidation

These financial statements are separate financial statements of Singda Superalloy Pte. Ltd. The Company is exempted from the preparation of consolidated financial statements as the Company is a wholly owned subsidiary of Jiangsu Longda Superalloy Co., Ltd, a China incorporated company which produces consolidated financial statements available for public use. The information of the subsidiary and the basis on which the subsidiary is accounted for are disclosed in Note 9 and 2(f) respectively. The registered office of Jiangsu Longdu Superalloy Co. Ltd is No. 18 Xiangyun Road, Anzhen Street, Xishan District Wuxi City, Jiangsu Provision, People's Republic of China,.

(c) Functional and foreign currencies

(a) Functional currency

Items included in the financial statements are measured using the currency best reflects the economic substance of the underlying events and circumstances relevant to the Company (the functional currency). The financial statements are presented in United States Dollar (US$), which is the functional currency of the Company.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

(c) Functional and foreign currencies (cont'd)

(b) Foreign currency transactions and balances

Transactions in foreign currencies are translated into the functional currency using the exchange rate in effect at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated into the functional currency at the rates ruling at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

All exchange differences are taken to the profit or loss.

(d) Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

Revenue from sale of goods is recognised upon the transfer of significant risks and rewards of ownership, which generally coincides with the time when the goods are delivered to customers and title has passed. Revenue is not recognised to the extent where there are significant uncertainties regarding recovery of the consideration due, associated costs or the possible return of goods.

(e) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

(f) Subsidiary

A subsidiary company is an entity over which the Company has the power to govern the financial and operating policies so as to obtain benefits from its activities. The Group generally has such power when it, directly or indirectly, holds more than 50% of the issued share capital, or controls more than half of the voting power, or controls the composition of the board of directors.

Investment in subsidiary company is stated in the Company's statement of financial position at cost less impairment losses.

(g) Financial instruments

(a) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at FVPL, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement

Investments in debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the asset. The three measurement categories for classification of debt instruments are amortised cost, FVOCI and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through the amortisation process.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

(g) Financial instruments

(a) Financial assets

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

(h) Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

(h) Impairment of financial assets (cont'd)

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

The Company considers a financial asset in default when contractual payments are 60 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

(i) Cash and cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents include cash at bank, which are subject to an insignificant risk of change in value.

(j) Related parties

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company if that person:

  (i) has control or joint control over the Company;
  (ii) has significant influence over the Company; or
  (iii) is a member of the key management personnel of the Company or of a parent of the Company.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

(j) Related parties (cont'd)

(b) An entity is related to the Company if any of the following conditions applies:

(i) the entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
(ii) one entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
(iii) both entities are joint venture of the same third party;
(iv) one entity is a joint venture of a third entity and the other entity is an associate of the third entity;
(v) the entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
(vi) the entity is controlled or jointly controlled by a person identified in (a);
(vii) a person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity); or
(viii) the entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

(k) Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive), as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be established on the amount of the obligation. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. Where the effect of time value of money is material, the amount of the provision is the present value of the expenditure expected to be required to settle the obligation.

3. REVENUE

Revenue represents invoiced of trading sales less trade discount during the financial period.

The Company derives revenue from the transfer of goods at a point in time.

4. COST OF SALES

	6/2/2024 to 31/12/2024 US$
Purchases	295,200
Freight and handling charges	2,171
	297,371

5. OTHER INCOME

	6/2/2024 to 31/12/2024 US$
Interest income	77

6. PROFIT BEFORE INCOME TAX

Expenses recognised in the profit or loss included the following:

	6/2/2024 to 31/12/2024 US$
Legal and professional fee	4,973

7. INCOME TAX

The income tax on profit differs from the amount that would arise using the Singapore standard rate of income tax as follows:

	6/2/2024 to 31/12/2024 US$
Profit before income tax	822
Tax calculated at a tax rate of 17%	140
Effects of:	
- Tax exemption	(104)
- Tax rebate	(18)
	18

8. ISSUED CAPITAL

	2024
Issued and fully paid	
1 ordinary share	US$1
Share application monies	US$1,299,999

During the financial period, the Company issued 1 subscriber's share at US$1 upon incorporation of the entity.

After the financial period, the Company has passed resolution to increase additional ordinary shares of the Company for used as additional working capital. This amount which has been received during the financial period is classified as share application monies.

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

9. INVESTMENT IN A SUBSIDIARY

	2024 US$
Unquoted equity shares, at cost	227,496
Amount due from subsidiary	812,495
	1,039,991

The details of the subsidiary company are as follows: -

Name of company	Principal activities	Country of incorporation and place of business	Effective percentage of equity hold by the Company 2024 %	Cost of investment 2024 US$
Singda Superalloy (Malaysia) Sdn. Bhd.	Design, develop, manufacture and trade alloy materials	Malaysia	100	227,496

The amount due from the subsidiary is non-trade in nature, unsecured and interest-free. Management does not intend to recover the loan and plans to convert it into an investment through the acquisition of shares to be allotted by the subsidiary.

Subsequent to the financial year end, the Company acquired 1,500,000 allotted shares issued by the subsidiary for a total consideration of RM1,500,000 (equivalent to US563,819).

10. TRADE AND OTHER RECEIVABLES

	2024 US$
Trade receivables	30,377
Other receivables	149,000
	179,377

Trade and other receivables are not past due and not impaired at the statement of financial position date.

11. CASH AND CASH EQUIVALENTS

	2024 US$
Cash at bank	383,798

12. TRADE AND OTHER PAYABLES

	2024 US$
Trade payable	
- Related party	295,200
Accruals	7,144
	302,344

Amount due to related party is unsecured, interest-free and repayable on normal trade terms.

Trade and other payables are denominated in the following currencies as at 31 December:

	2024 US$
Singapore Dollar	4,973
United States Dollar	297,371
	302,344

13. HOLDING COMPANY

The Company is a wholly owned subsidiary of Jiangsu Longda Superalloy Co., Ltd, a company incorporated in Republic of China, which is also the ultimate holding company.

14. RELATED PARTY TRANSACTIONS

In additions to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties on terms mutually agreed during the financial period are as follows:

	6/2/2024 to 31/12/2024 US$
Purchase from a related party	295,200

15. FINANCIAL ASSETS AND FINANCIAL LIABILITIES

	2024 US$
Financial assets	
Financial assets carried at amortised cost	
- Trade and other receivable (Note 10)	179,377
- Cash and cash equivalents (Note 11)	383,798
	563,175
Financial liabilities	
Financial liabilities carried at amortised cost	
- Trade and other payables (Note 12)	302,344

16. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Company is exposed to financial risks arising from its operations and the use of financial instruments. The key financial risks include market risk (including currency risk, interest rate risk and price risk), credit risk and liquidity risk. The board of directors carried out their financial risks management in accordance with established policies and procedures.

The following sections provide the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

(a) **Market risk**

(a) Currency risk

The Company's business operations are not exposed to material foreign currency risk as majority of the transactions and balances are in United States Dollar.

(b) Interest rate risk

The Company is not exposed to interest rate risk as it does not have any interest-bearing assets or liabilities.

(c) Price risk

The Company is not exposed to price risk as it does not hold any listed securities.

(b) **Credit risk**

The table below details the credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating categories:

	Note	12-month or lifetime ECL	Gross carrying amount US$	Loss allowance US$	Net carrying amount US$
31 December 2024					
Trade receivable	(10)	Lifetime ECL (Simplified)	30,377	-	30,377
Other receivable	(10)	12-month ECL	149,000	-	149,000

For trade receivable, the Company has applied the simplified approach in FRS 109 to measure the loss allowance at lifetime ECL. The Company determines the ECL by using a provision matrix, estimated based on historical credit loss experience based on the past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions. Accordingly, the credit risk profile of trade receivable is presented based on their past due status in terms of the provision matrix.

16. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

(b) Credit risk (cont'd)

Excessive risk concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry.

Exposure to credit risk

The Company has no significant concentration of credit risk. The Company has credit policies and procedures in place to minimise and mitigate its credit risk exposure.

	Trade receivable	
	Days past due	
	Not past due	Total
	US$	US$
31 December 2024		
ECL rate	0%	
Estimated total gross carrying amount at default	30,377	30,377
Subsequent receipt	(30,377)	(30,377)
ECL	-	-
		-

Other receivable

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.

(c) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of collections and payments timing. The Company's objective is to maintain a balance between funding through business and flexibility through the use of funding from the holding company.

The Company's liquidity risk management policy is to maintain sufficient liquid financial assets and flexibility through funding from the holding company to pay for liabilities that are due in the next six months.

16. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

(c) Liquidity risk (cont'd)

Analysis of financial instruments by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities at the reporting date based on contractual undiscounted repayment obligations:

	2024		
	Carrying amount	Contractual cash flows	One year or less
	US$	US$	US$
Financial assets			
Trade and other receivable	179,377	179,377	179,377
Cash and cash equivalents	383,798	383,798	383,798
Total undiscounted financial assets	563,175	563,175	563,175
Financial liabilities			
Trade and other payables	302,344	302,344	302,344
Total undiscounted financial liabilities	302,344	302,344	302,344
Total net undiscounted financial assets	260,831	260,831	260,831

(d) Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position in order to support its business and maximise shareholders' value. The capital structures of the Company comprise of issued share capital, share application monies and retained earnings.

The Company manages its capital structures and makes adjustments to them, in the light of changes in economic conditions. To maintain or adjust capital structure, the Company may adjust dividend payments, return of capital or issue new shares. The Company is not exposed to any externally imposed capital requirements. No changes were made to the objectives, policies or process during the financial year.

16. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

(e) Fair values

The fair value of a financial instrument is the amount at which the instrument could be exchanged or settled between knowledgeable and willing parties in an arm's length transaction, other than in a forced or liquidation sale.

The financial instruments that are not carried at fair value and whose carrying amounts are in reasonable approximation of its fair value are as follows:

Cash and cash equivalents, other receivable and other payables

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Trade receivables and trade payables

The carrying amounts of these receivables and payables approximate their fair values as they are subject to normal trade credit terms.

17. AUTHORISATION OF FINANCIAL STATEMENTS

The financial statements for the financial period ended 31 December 2024 were authorised for issue in accordance with a resolution of the directors on 11 June 2025.

THIS SCHEDULE HAS BEEN PREPARED FOR THE MANAGEMENT PURPOSES
ONLY AND DOES NOT FORM PART OF THE
AUDITED FINANCIAL STATEMENTS

SINGDA SUPERALLOY PTE. LTD.
(Incorporated in the Republic of Singapore)

DETAILED STATEMENT OF PROFIT OR LOSS
FOR THE FINANCIAL PERIOD FROM 6 FEBRUARY 2024
(DATE OF INCORPORATION) TO 31 DECEMBER 2024

	6/2/2024 to 31/12/2024 US$
Sales	303,162
Less: Cost of sales	
Purchases	295,200
Freight and handling charges	2,171
	297,371
Gross profit	5,791
Add: Other income	
Interest income	77
	5,868
Less: Expenses	
Administrative expenses	
Audit fee	3,001
Bank charges	73
Professional fee	689
Secretary fee	810
Tax fee	473
	5,046
Profit before income tax	822